

SAP SD Capstone Project

Complete Order-to-Cash (O2C) Implementation

Prepared By: Nirbhay Sanjay Bawankule

Roll number: 23053222

Batch: SAP BTP Developer

Business Scenario: GlobalTech Electronics Inc.

1. Project Overview & Unique Points

1.1 Viva Highlights & Unique Selling Points

- **End-to-End Process:** Demonstrates the complete journey of a product—from a customer asking for a price all the way to the final cash hitting our bank account.
- **Seamless Module Integration:** Shows exactly where Sales & Distribution (SD) naturally connects with Materials Management (MM) for inventory and Financial Accounting (FI) for revenue.
- **Master Data Rule:** By accurately setting up the Customer and Material profiles once, the entire sales process becomes automated, eliminating typing errors.
- **Traceable Document Flow:** Every document is linked. You can easily trace a final billing invoice back to its original delivery, sales order, quotation, and inquiry.

1.2 Tech Stack & Objective

- **System Environment:** SAP ERP / SAP S/4HANA (Specifically the SD Module).
- **Goal:** To securely automate manual sales tasks for “GlobalTech”, ensuring faster deliveries, accurate invoicing, and real-time system updates.

2. Company Structure

2.1 The Company Overview

GlobalTech Electronics Inc. is a growing brand that proudly manufactures and sells consumer electronics (laptops, phones) and accessories.

2.2 SAP Organizational Structure (The “Skeleton”)

To make SAP work, we digitally map the real company into the system rules:

1. **Company Code (GTEC):** The legal and financial heart of the company. It handles the balance sheets for GlobalTech.
2. **Sales Organization (GT10):** The dedicated sales team responsible for the U.S. market.
3. **Distribution Channel (WH & RE):** How we actually sell. We sell Wholesale (WH) to other businesses and Retail (RE) strictly to regular people.
4. **Division (EL & AC):** What we sell. We divide products into Electronics (EL) and overall Accessories (AC).

3. The Order-to-Cash (O2C) Cycle

Below is the standard 7-step process from completely start to finish, simplified for presentation.

Step 1: Customer Master Creation (T-Code: XD01 or BP)

- **What is it?:** Creating the customer’s digital ID card inside SAP.
- **Viva Simple Terms:** “Before we can sell to anyone, SAP rigorously needs to know who they are, where to ship, how to tax them, and how they will pay.”
- **System Configuration:**
 1. Open XD01, select Account Group 0001 (Sold-To Party).
 2. Enter broad Address details in **General Data**.
 3. Connect core finance accounts in **Company Code Data**.
 4. Specify tight shipping rules in **Sales Area Data**.

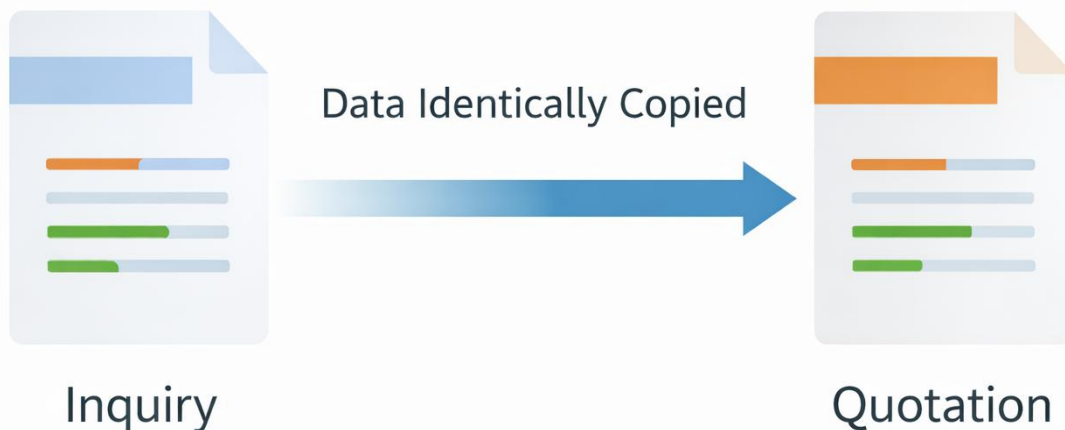


Step 2: Inquiry (T-Code: VA11)

- **What is it?:** The customer asks, “Do you natively have 100 Laptops and what is the current price?”
- **Viva Simple Terms:** “This is just an internal note. It’s strictly not legally binding, it just tracks that a buyer is initially interested.”
- **System Configuration:**
 1. Open VA11. Type: IN (Inquiry).
 2. Enter the Customer Number and Material ID (LAPTOP-PRO-01), Quantity (100).
 3. Save to immediately get an Inquiry Number.

Step 3: Quotation (T-Code: VA21)

- **What is it?:** Our official company answer: “Yes, we have them, and here is a guaranteed fixed price for the next 30 days.”
- **Viva Simple Terms:** “A real, legally binding offer we confidently give to the customer.”
- **System Configuration:**
 1. Open VA21. Type: QT (Quotation).
 2. **Create with Reference:** Enter the Inquiry number so SAP copies over everything automatically.
 3. Set a Valid-To Date and cautiously add any final manual discounts. Save.



Step 4: Sales Order (T-Code: VA01)

- **What is it?:** The customer accepts the quote. We officially book their order.
- **Viva Simple Terms:** “The deal is formally agreed upon. When we hit save on the Sales Order, SAP automatically rigidly checks if we actually have the laptops in the physical warehouse—this is called an Availability Check or ATP.”
- **System Configuration:**
 1. Open VA01. Type: OR (Standard Order).
 2. **Create with Reference:** Smoothly copy from the Quotation.
 3. Enter the customer’s final Purchase Order (PO) number. Save.

Step 5: Delivery & Goods Issue (T-Codes: VL01N & VL02N)

- **What is it?:** Packing the order and safely putting it securely on the delivery truck.
- **Viva Simple Terms:** “This is the single most critical step for our inventory. When we click ‘Post Goods Issue’ (PGI), the laptops legally entirely leave our formal ownership. Our warehouse count rigidly goes down, and our financial cost officially goes up.”
- **System Configuration:**
 1. Open VL01N strictly with the Sales Order number.
 2. Physically pick the items neatly from the storage shelf (Update Quantity to 100).
 3. Click **Post Goods Issue**.

Financial Impact of PGI



Step 6: Billing / Invoicing (T-Code: VF01)

- **What is it?:** Sending the accurate bill for the exact physical amount that was shipped.
- **Viva Simple Terms:** “We strictly only bill for what we actually put on the truck. By successfully completing this step, our Accounts Receivable department formally knows the customer owes us actual money.”
- **System Configuration:**
 1. Open VF01.
 2. SAP smartly suggests the Delivery number automatically.
 3. Save. An invoice is securely printed, and FI (Finance) documents are beautifully automatically generated in the backend.

Step 7: Payment (T-Code: F-28 or F110)

- **What is it?:** The customer fully pays the bill, concluding the cycle.
- **Viva Simple Terms:** “The cash successfully hits our bank. SAP automatically updates the customer’s debt account balance effectively to zero.”
- **System Configuration:**
 1. Open F-28.
 2. Enter the bank details and exact money received limit.

3. Select the customer profile and gently allocate the payment precisely against the open invoice from Step 6.
4. Balance immediately becomes exactly 0.00. Save to fully clear the account.

O2C Lifecycle Overview



4. Problem Statement & Solution Summary

- **The Past Problem:** GlobalTech lost track of active orders, faced severely delayed shipments, and finance had strictly zero visibility into expected future revenue.
- **The Beautiful SAP Solution:** By rigorously routing everything securely through the SAP standard O2C process, perfectly structured master data formally prevents typing errors, Copy Control aggressively speeds up processing, and fully automatic Financial integration accurately keeps the financial books perfectly natively balanced.

5. Future Improvements

- Integration with SAP Fiori apps
- Automation using APIs
- Real-time analytics dashboards